EF

Eugene Fama & Kenneth French

Financial economists · multi-factor asset pricing

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Unit 6

Eugene Fama b. 1939 (Nobel laureate, 2013); Kenneth French b. 1954 · University of Chicago and Dartmouth.

> *"Returns have more than one source."*

THE WHY THAT DROVE THE WORK

Fama and French sought to explain patterns in stock returns that the single-factor CAPM could not, finding that size and value (and later other factors) systematically affect returns.

INTELLECTUAL FOUNDATION

Building on Fama's efficient-markets work, their empirical research established that multiple factors, not market risk alone, drive returns.

FRAMEWORKS ANCHORED IN THIS COURSE

They anchor the Fama-French Factors in Unit 6's prediction-and-risk Slibrary.

HOW THE IDEAS OPERATIONALISE

Their model operationalises as decomposing returns into factor exposures and building or evaluating portfolios by their factor loadings.

LIMITATIONS & CRITIQUE

Factor definitions and the number of 'real' factors are debated, and some factors have weakened out of sample (the 'factor zoo' problem).

ENDURING IMPACT

Multi-factor asset pricing transformed both academic finance and the practice of factor investing and smart-beta strategies.

ON THE SAME PANEL (UNIT 6)

Harry Markowitz · Giant 24
Fischer Black & Robert Litterman · Giant 25
Marcos López de Prado · Giant 27
Agrawal, Gans & Goldfarb · Giant 28

SOURCES (HARVARD REFERENCING STYLE)

Fama, E.F. and French, K.R. (1993) 'Common risk factors in the returns on stocks and bonds', Journal of Financial Economics, 33(1).
Fama, E.F. and French, K.R. (2015) 'A five-factor asset pricing model', Journal of Financial Economics, 116(1).